Aspeed (5274.TWO)

Earnings Review: 2Q26 GM beat but OpM miss; structural growth drivers remain intact; reiterate Buy with TP at NT$22,000

5274.TWO	12m Price Target: **NT$22,000.00**	Price: **NT$16,020.00**	Upside: **37.3%**

2Q26 GM strong beat, yet OpM miss on higher opex
Aspeed reported its 2Q26 preliminary results (see Exhibit 1) on 5 August. 2Q26 GM of 72.0% (+282bps QoQ) came in much stronger vs. GSe/Bloomberg consensus of 69.6%/68.6%; we attribute the strong sequential increase to higher BMC pricing that reflects rising component and OSAT cost. However, 2Q26 opex ratio also came in higher at 18.1% (+166bps), which was above GSe/Bloomberg consensus of 14.6%/14.3%, mainly impacted by higher cost from cash-settled stock units (CSUs) that are linked to share price movements as seen in previous quarter.

3Q26 GM to soften before rebounding on higher pricing in 4Q26
Management maintained its 3Q26 revenue guidance of NT$4.1-4.3bn (+6%-11% QoQ), with GM in the range of 67-68%, implying a sequential decline. We maintain our view that Aspeed's 3Q26E revenue will grow further at 22% QoQ, supported by sustained demand from US CSP customers and the gradual easing of the substrate bottleneck. On the margin front, we expect 3Q26E GM to decline sequentially to 69.4% (from 72.0% in 2Q26), owing to a continued rise in material costs. However, against this rising cost backdrop, we now anticipate Aspeed to potentially implement another round of price adjustments in 4Q26, passing on the higher material costs. Overall, we expect 4Q26E GM to rebound to 70.6% on higher BMC pricing, with full-year 2026E GM reaching 70.3% (vs. 69.5% previously).

Multiple drivers reinforce a solid multi-year growth outlook
We see a structurally stronger growth trajectory for Aspeed into 2028, driven by **1)** robust agentic AI demand, where we continue to see upside to AI-related general server BMC demand vs. management's prior guidance of around 8.5mn/12.3mn in 2026/2027E, supported by robust in-house CPU and general server

BUY

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Key Data

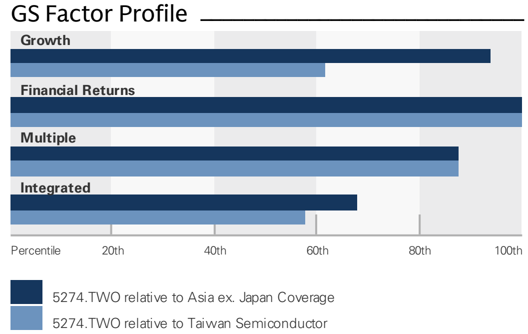
Market cap: NT$669.0bn / $20.6bn
Enterprise value: NT$659.8bn / $20.3bn
3m ADTV: NT$5.2bn / $163.6mn
Taiwan
Taiwan Semiconductor
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**9,084.9**	**18,401.4**	**34,693.6**	**51,569.1**
Revenue (NT$ mn) Old	9,084.9	17,959.9	33,275.3	50,322.0
EBITDA (NT$ mn)	4,984.4	10,531.6	21,132.8	32,415.5
EPS (NT$) New	**94.05**	**206.00**	**408.28**	**624.93**
EPS (NT$) Old	94.05	203.59	404.06	624.93
P/E (X)	44.2	77.8	39.2	25.6
P/B (X)	22.9	65.5	32.2	19.6
Dividend yield (%)	1.7	1.0	1.9	2.9
CROCI (%)	114.3	192.0	499.6	665.7

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	44.27	50.89	76.83	83.35

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

BUY

Aspeed (5274.TWO)

Rating since Mar 17, 2024

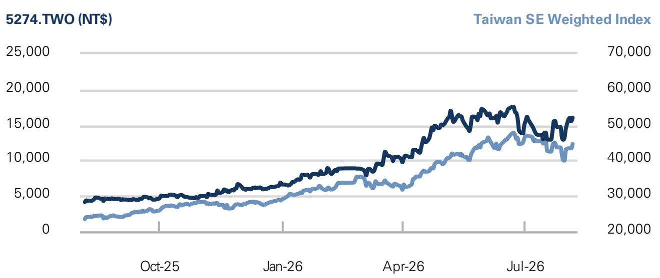
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	44.2	77.8	39.2	25.6
P/B (X)	22.9	65.5	32.2	19.6
FCF yield (%)	2.4	1.0	2.5	3.9
EV/EBITDAR (X)	33.7	62.4	30.6	19.5
EV/EBITDA (excl. leases) (X)	33.7	62.4	30.6	19.5
CROCI (%)	114.3	192.0	499.6	665.7
ROE (%)	59.5	96.6	109.9	95.0
Net debt/equity (%)	(76.5)	(90.7)	(93.0)	(96.0)
Net debt/equity (excl. leases) (%)	(76.5)	(90.7)	(93.0)	(96.0)
Interest cover (X)	693.8	2,149.5	3,621.6	5,736.4
Days inventory outst, sales	12.8	9.4	7.0	5.9
Receivable days	62.9	65.5	56.4	52.7
Days payable outstanding	181.1	245.9	210.2	187.4
DuPont ROE (%)	51.9	84.3	81.9	76.5
Turnover (X)	0.9	1.1	1.2	1.1
Leverage (X)	1.4	1.7	1.4	1.3
Gross cash invested (ex cash) (NT$)	3,499.1	3,027.6	3,845.6	4,012.2
Average capital employed (NT$)	1,881.2	1,364.3	1,202.2	1,401.7
BVPS (NT$)	182.06	244.50	498.23	816.88

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	40.6	102.6	88.5	48.6
EBITDA growth	57.0	111.3	100.7	53.4
EPS growth	52.0	119.0	98.2	53.1
DPS growth	49.1	119.0	98.2	53.1
EBIT margin	51.3	55.3	60.0	62.3
EBITDA margin	54.9	57.2	60.9	62.9
Net income margin	43.2	46.6	48.9	50.4

Price Performance



	3m	6m	12m
Absolute	(0.9)%	93.0%	267.1%
Rel. to the Taiwan SE Weighted Index	(9.5)%	37.6%	94.7%

Source: FactSet. Price as of 5 Aug 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	9,084.9	18,401.4	34,693.6	51,569.1
Cost of goods sold	(2,906.2)	(5,461.5)	(9,888.0)	(14,598.2)
SG&A	(476.4)	(753.8)	(1,046.6)	(1,329.9)
R&D	(1,042.0)	(2,007.9)	(2,931.7)	(3,505.6)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**4,984.4**	**10,531.6**	**21,132.8**	**32,415.5**
Depreciation & amortization	(324.0)	(353.4)	(305.5)	(280.1)
EBIT	**4,660.3**	**10,178.3**	**20,827.3**	**32,135.4**
Net interest inc./(exp.)	146.6	134.5	139.1	138.7
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**4,855.4**	**10,569.8**	**21,034.4**	**32,342.1**
Provision for taxes	(927.6)	(2,002.9)	(4,057.1)	(6,355.7)
Minority interest	–	(0.9)	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**3,927.8**	**8,566.1**	**16,977.4**	**25,986.3**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**3,927.8**	**8,566.1**	**16,977.4**	**25,986.3**
EPS (basic, pre-except) (NT$)	**94.05**	**206.00**	**408.28**	**624.93**
EPS (diluted, pre-except) (NT$)	**94.05**	**206.00**	**408.28**	**624.93**
EPS (basic, post-except) (NT$)	**94.05**	**206.00**	**408.28**	**624.93**
EPS (diluted, post-except) (NT$)	**94.05**	**206.00**	**408.28**	**624.93**
DPS (NT$)	70.56	154.54	306.28	468.81
Div. payout ratio (%)	75.0	75.0	75.0	75.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	5,788.3	9,220.8	19,259.6	32,623.3
Accounts receivable	1,642.1	4,962.2	5,768.1	9,120.3
Inventory	279.7	664.7	667.7	1,011.3
Other current assets	698.2	746.8	746.8	746.8
Total current assets	**8,408.2**	**15,594.6**	**26,442.3**	**43,501.7**
Net PP&E	409.0	395.5	303.0	239.5
Net intangibles	607.7	475.2	342.2	205.5
Total investments	208.9	209.4	209.4	209.4
Other long-term assets	699.8	691.1	691.1	691.1
Total assets	**10,333.7**	**17,365.8**	**27,987.9**	**44,847.2**
Accounts payable	1,679.7	5,679.4	5,710.4	9,279.6
Short-term debt	0.0	0.0	0.0	–
Short-term lease liabilities	–	–	–	–
Other current liabilities	763.9	1,197.4	1,237.4	1,277.4
Total current liabilities	**2,443.6**	**6,876.8**	**6,947.7**	**10,556.9**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	319.3	322.1	322.1	322.1
Total long-term liabilities	**319.3**	**322.1**	**322.1**	**322.1**
Total liabilities	**2,762.9**	**7,198.9**	**7,269.9**	**10,879.0**
Preferred shares	–	–	–	–
Total common equity	7,570.8	10,166.0	20,717.2	33,967.3
Minority interest	**--**	**0.9**	**0.9**	**0.9**
Total liabilities & equity	**10,333.7**	**17,365.8**	**27,987.9**	**44,847.2**
Net debt, adjusted	(5,788.3)	(9,220.8)	(19,259.6)	(32,623.3)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	3,927.8	8,566.1	16,977.4	25,986.3
D&A add-back	324.0	353.4	305.5	280.1
Minority interest add-back	–	0.9	–	–
Net (inc)/dec working capital	397.6	294.5	(777.9)	(126.6)
Other operating cash flow	(153.6)	(2,544.9)	–	–
Cash flow from operations	**4,495.9**	**6,669.9**	**16,505.0**	**26,139.8**
Capital expenditures	(274.1)	(261.2)	(40.0)	(40.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(120.6)	(36.1)	–	–
Cash flow from investing	**(394.7)**	**(297.3)**	**(40.0)**	**(40.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(1,966.7)	(2,946.6)	(6,426.2)	(12,736.2)
Inc/(dec) in debt	0.0	–	–	–
Other financing cash flows	(5.5)	6.5	0.0	0.0
Cash flow from financing	**(1,972.2)**	**(2,940.1)**	**(6,426.2)**	**(12,736.2)**
Total cash flow	**2,129.0**	**3,432.5**	**10,038.8**	**13,363.6**
Free cash flow	4,221.8	6,408.8	16,465.0	26,099.8

Source: Company data, Goldman Sachs Research estimates.

CPU demand; **2)** accelerating AI ASIC deployments, with new market share gains from a US AI ASIC customer; **3)** rising AST2700 adoption driven by new server platform migration and upgrade in cyber security requirements; **4)** easing supply chain bottlenecks, as E-glass qualification nears completion and a new OSAT partner is expected to be introduced in 4Q26; and **5)** new AST1840 opportunity, where we expect volume production and revenue contribution to begin in 2H27, with GM in line with the corporate average.

We maintain our BMC shipment forecast at 32.6mn/49.1mn/62.4mn units in 2026-28E (+72%/+51%/+27% YoY), with the AST2700 mix rising to 5%/22%/38% and driving blended ASP growth of 22%/21%/12%. Net net, we expect Aspeed's revenue to grow 103%/89%/49% YoY, with OpM reaching 55.3%/60.0%/62.3% in 2026-28E. Overall, we maintain our 12m TP at NT$22,000, and with c.37% of implied upside, we reiterate our Buy rating on Aspeed.

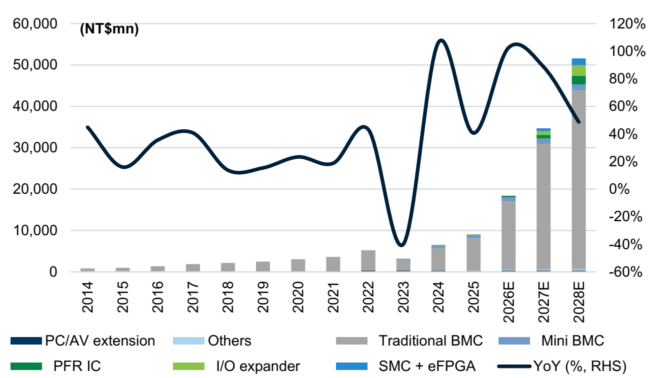
See also: Aspeed (5274.TWO) Multiple growth drivers ahead with risk reward incrementally skewed to the upside; reiterate Buy (28 July 2026)

Exhibit 1: 2Q26 results summary

(NT$mn)	2Q26	1Q26	2Q25	%QoQ	%YoY	GS prev.	%Diff	Consensus	%Diff
Revenue	3,871	3,147	2,247	23.0%	72.3%	3,871	0.0%	3,797	2.0%
Gross profit	2,788	2,177	1,525	28.0%	82.8%	2,696	3.4%	2,606	7.0%
Op. income	2,086	1,659	1,184	25.7%	76.2%	2,130	-2.1%	2,062	1.2%
Net income	1,841	1,414	629	30.2%	192.6%	1,739	5.9%	1,694	8.7%
EPS (NT$)	44.27	34.01	15.14	30.2%	192.5%	41.82	5.9%	41.34	7.1%
GM	72.0%	69.2%	67.9%	2.8%	4.1%	69.6%	2.4%	68.6%	3.4%
OpM	53.9%	52.7%	52.7%	1.2%	1.2%	55.0%	-1.1%	54.3%	-0.4%
NM	47.6%	44.9%	28.0%	2.6%	19.5%	44.9%	2.6%	44.6%	2.9%

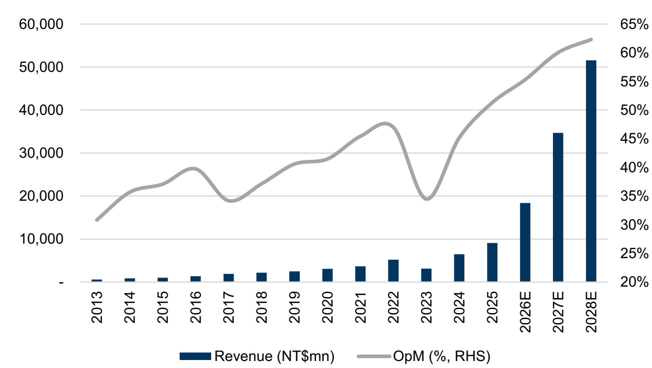
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 2: Aspeed's revenue growth outlook



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Clear OPM expansion trend as revenue accelerates



Source: Company data, Goldman Sachs Global Investment Research

Earnings changes, valuation and risks

Forecast changes

We raise our 2026-2027E EPS by 1.2%/1.0% and keep 2028E EPS unchanged, as we factor in 1) higher 2Q26 actual GM, and 2) higher 2026/2027E full-year GM driven by potential 4Q26 price hike.

Exhibit 4: Earnings revisions

	2026E			2027E			2028E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	17,960	18,401	2.5%	33,275	34,694	4.3%	50,322	51,569	2.5%
Gross profit	12,486	12,940	3.6%	23,630	24,806	5.0%	35,863	36,971	3.1%
Op. income	10,227	10,178	-0.5%	20,714	20,827	0.5%	32,296	32,135	-0.5%
Net income	8,466	8,566	1.2%	16,802	16,977	1.0%	25,986	25,986	0.0%
EPS (NT$)	203.59	206.00	1.2%	404.06	408.28	1.0%	624.93	624.93	0.0%
GM	69.5%	70.3%	0.8%	71.0%	71.5%	0.5%	71.3%	71.7%	0.4%
OpM	47.2%	55.3%	8.1%	62.3%	60.0%	-2.2%	64.2%	62.3%	-1.9%
NM	47.1%	46.6%	-0.6%	50.5%	48.9%	-1.6%	51.6%	50.4%	-1.2%

	3Q26E			4Q26E			1Q27E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	4,714	4,788	1.6%	6,228	6,596	5.9%	6,942	7,175	3.4%
Gross profit	3,278	3,322	1.3%	4,336	4,654	7.3%	4,930	5,129	4.0%
Op. income	2,690	2,583	-4.0%	3,748	3,851	2.7%	4,321	4,292	-0.7%
Net income	2,202	2,116	-3.9%	3,111	3,195	2.7%	3,489	3,466	-0.7%
EPS (NT$)	52.95	50.89	-3.9%	74.81	76.83	2.7%	83.91	83.35	-0.7%
GM	69.5%	69.4%	-0.2%	69.6%	70.6%	0.9%	71.0%	71.5%	0.5%
OpM	57.1%	53.9%	-3.1%	60.2%	58.4%	-1.8%	62.2%	59.8%	-2.4%
NM	46.7%	44.2%	-2.5%	49.9%	48.4%	-1.5%	50.3%	48.3%	-2.0%

Source: Goldman Sachs Global Investment Research

Maintain Buy with TP unchanged at NT$22,000

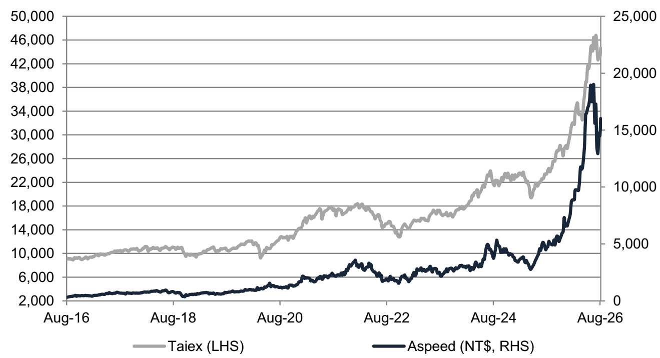
We maintain our 12m TP at NT$22,000 and still based on 40x 2028E discounted P/E (unchanged). Our target P/E is inline with the long-term 10-yr avg. fwd P/E. We apply this to our 2028E EPS, and discount it back to 2027E at a 13.6% CoE to arrive at our TP of NT$22,000. Our key assumptions for CoE include: (1) 1.5x beta (sourcing Bloomberg), (2) a 4.25% risk-free rate (inline with GS house-view), and (3) a market risk premium of 6.25% (in line with GS house view). Our new TP implies c.37% upside from the current share price, and we reiterate our Buy rating on Aspeed.

Exhibit 5: Aspeed's P&L overview

	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
P&L											
Revenue	3,147	3,871	4,788	6,596	7,175	8,185	9,873	9,460	18,401	34,694	51,569
Gross profit	2,177	2,788	3,322	4,654	5,129	5,886	6,977	6,813	12,940	24,806	36,971
Operating profit	1,659	2,086	2,583	3,851	4,292	4,940	5,860	5,735	10,178	20,827	32,135
Net income	1,414	1,841	2,116	3,195	3,466	4,048	4,736	4,727	8,566	16,977	25,986
EPS (NT$)	34.01	44.27	50.89	76.83	83.35	97.35	113.88	113.68	206.00	408.28	624.93
Margins (%)											
GM	69.2%	72.0%	69.4%	70.6%	71.5%	71.9%	70.7%	72.0%	70.3%	71.5%	71.7%
OpM	52.7%	53.9%	53.9%	58.4%	59.8%	60.4%	59.4%	60.6%	55.3%	60.0%	62.3%
NM	44.9%	47.6%	44.2%	48.4%	48.3%	49.5%	48.0%	50.0%	46.6%	48.9%	50.4%
YoY (%)											
Revenue	52.4%	72.3%	105.5%	170.0%	128.0%	111.4%	106.2%	43.4%	102.6%	88.5%	48.6%
Gross profit	59.2%	82.8%	105.8%	178.3%	135.6%	111.1%	110.1%	46.4%	109.4%	91.7%	49.0%
Operating profit	61.5%	76.2%	109.7%	216.2%	158.7%	136.8%	126.9%	48.9%	118.4%	104.6%	54.3%
Net income	59.5%	192.6%	74.3%	166.8%	145.1%	119.9%	123.8%	48.0%	118.1%	98.2%	53.1%
EPS	62.7%	192.5%	74.3%	166.7%	145.1%	119.9%	123.8%	48.0%	119.0%	98.2%	53.1%
QoQ (%)											
Revenue	28.8%	23.0%	23.7%	37.8%	8.8%	14.1%	20.6%	-4.2%			
Gross profit	30.2%	28.0%	19.2%	40.1%	10.2%	14.7%	18.5%	-2.3%			
Operating profit	36.2%	25.7%	23.8%	49.1%	11.5%	15.1%	18.6%	-2.1%			
Net income	18.1%	30.2%	14.9%	51.0%	8.5%	16.8%	17.0%	-0.2%			
EPS	18.0%	30.2%	14.9%	51.0%	8.5%	16.8%	17.0%	-0.2%			

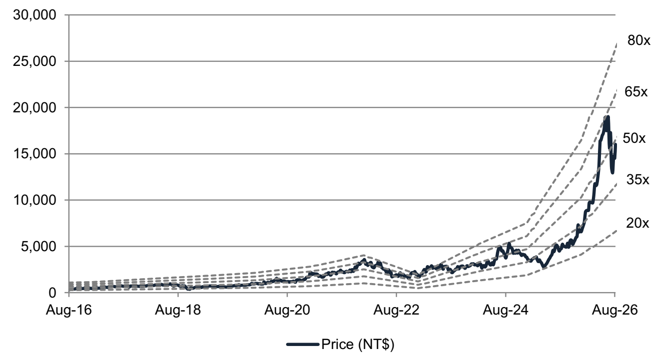
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Taiex vs. Aspeed



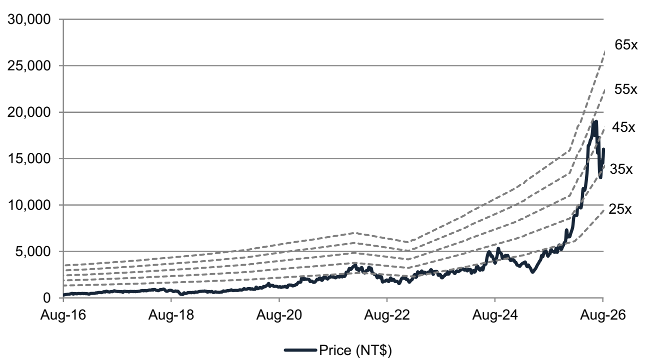
Source: Bloomberg

Exhibit 7: Forward P/E



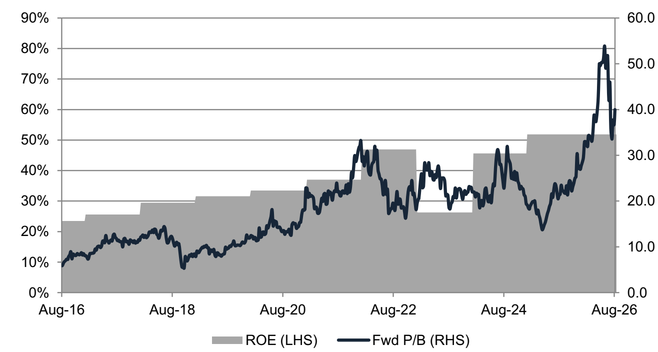
Source: Bloomberg

Exhibit 8: Forward P/B



Source: Bloomberg

Exhibit 9: P/B vs. ROE



Source: Bloomberg

Investment Thesis, Price Target Risks and Methodology

Investment Thesis – Aspeed (5274.TWO)
Aspeed is a leading Taiwan-based IC (integrated circuit) design company specializing in BMC (baseboard management controller) SoC, which is used to remotely monitor the physical state of servers. The company is the largest BMC supplier, with c.70% of the global BMC market share, and 85% of its total revenue comes from the BMC segment.

We like Aspeed as we expect its revenue/earnings CAGRs to further accelerate to 78%/88% in 2025-2028E (vs. 5.9%/4.9% during 2019-2023), driven mostly by AI server demand, especially started from 2025. Furthermore, we also expect server architecture changes will bring more business opportunities to Aspeed to drive up its TAM expansion within the server market. With more TAM expansion and more dollar content growth within the AI theme, we continue to see upside potential for its revenue and earnings growth. We have a Buy rating on the name.

Price Target Risks and Methodology – Aspeed (5274.TWO)
Valuation: Our 12-month TP of NT$22,000 is based on a target P/E of 40x (in line with its 10-year historical trading average) applied to our 2028E EPS, and discounted back to 2027E at 13.6% CoE. Our key assumptions for CoE include: (1) 1.5x beta (sourcing Bloomberg), (2) a 4.25% risk-free rate, and (3) a market risk premium at 6.25% (in line with GS house view).

Key downside risks to our view and TP: 1) A softer-than-expected server market demand recovery, 2) slower-than-expected BMC penetration within AI servers, 3) intensifying market competition.

Disclosure Appendix

Reg AC

We, Evelyn Yu, Allen Chang and Ryan Huang, CFA, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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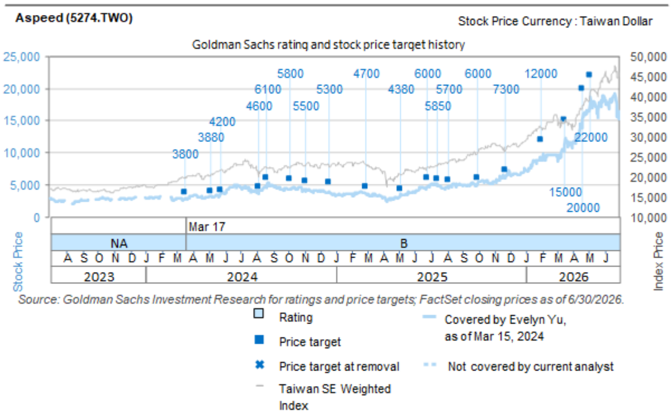
Price target and rating history chart(s)



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Target price history table(s)

Aspeed (5274.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
28-Jul-26	22,000.00	13,230.00
05-May-26	22,000.00	16,172.73
21-Apr-26	20,000.00	13,859.09
17-Mar-26	15,000.00	10,290.91
30-Jan-26	12,000.00	8,072.73
24-Nov-25	7,300.00	5,822.73
30-Sep-25	6,000.00	4,590.91
05-Aug-25	5,700.00	4,363.64
16-Jul-25	5,850.00	4,418.18
25-Jun-25	6,000.00	4,277.27
05-May-25	4,380.00	2,936.36
27-Feb-25	4,700.00	3,263.64
20-Dec-24	5,300.00	3,477.27
04-Nov-24	5,500.00	3,954.55
04-Oct-24	5,800.00	3,872.73
22-Aug-24	6,100.00	4,454.55
05-Aug-24	4,600.00	3,313.64
26-May-24	4,200.00	3,359.09
06-May-24	3,880.00	2,981.82
17-Mar-24	3,800.00	2,518.18

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